

subsequently flourished across academia.¹⁴ Under the strong-form interpretation of the EMH, asset prices reflect all available information (public and private), and there is no way for investors to consistently outperform a randomly selected basket of securities after controlling for risk. As noted EMH proponent Burton Malkiel so eloquently put it in his 1973 classic, *A Random Walk Down Wall Street*: “A blindfolded monkey throwing darts at a newspaper's financial pages could select a portfolio that would do just as well as one carefully selected by experts.”¹⁵

Indeed, the cult of efficient markets was pervasive in many of the nation's business schools, and heretics have been frequently banished from the EMH temple. While some finance professors openly scoffed at the notion of being able to add value through fundamental analysis, they reserved the innermost concentric circle of hell for technical analysts, who were perceived as financial quacks and charlatans. Why? Because Wall Street is a random walk, and past price movements tell you nothing about the future.

Yet all was not well in EMH paradise, as it emerged there was more to the story. Anomalies that were inconsistent with EMH began to emerge in the literature in the 1970s—for example, as was mentioned in the previous section, Ben Graham showed that buying a basket of low P/E stocks tends to outperform the market. At around the same time that the EMH was basking in glory, Daniel Kahneman, working with Amos Tversky, started exploring cognitive and behavioral psychology and how our biases affect individual financial decision-making. Kahneman and Tversky established a connection between investors' internal behavioral biases and many of the observed anomalies that were being identified in academic finance literature.

In the early 1990s, academics such as Narasimhan Jagadeesh and Sheridan Titman, in their 1993 paper “Returns to Buying Winners and Selling Losers: Implications for Market Efficiency,” began to focus on the concept of *momentum*, which refers to the fact that, in direct contradiction to the EMH, past returns can predict future returns.¹⁶ That is, if a stock has performed well over the past year, it will continue to perform well in the future. EMH proponents were perplexed by the momentum anomaly, but argued that momentum returns were likely related to additional risks borne: riskier smaller and cheaper companies drove the effect. Many researchers have responded with studies that find the effect persists even when controlling for company size and value factors. And the effect appears to hold across multiple asset classes, such as commodities, currencies, and even bonds.¹⁷